IE01

Basic Concepts: Growth, Development, Sustainability, National Income

About 2-3 questions a paper out of the 8 that Indian Economy gets. The national income aggregates - NNP, GNI, base-year revision - came in 2013, 2021 and 2024. Definitions and formulas, not opinions. Learn the aggregate ladder cold and this chapter is free marks.

This is the grammar of the whole Economy paper. If you cannot instantly say what GVA is and how it differs from GDP, or what exactly 'National Income' means in Indian accounting, every later chapter will feel slippery. RPSC does not ask you to discuss growth theory here - it asks you to pick the right formula, the right committee, the right base year.

Basic Concepts and National Income

Growth vs Development
- Growth = quantitative, real output up
- Development = growth + structure + distribution + welfare
- Amartya Sen - capability approach, Development as Freedom 1999
- Mahbub ul Haq - architect of HDI, first HDR 1990

Who measures it
- Dadabhai Naoroji 1867-68 - first estimate, Rs 20 per capita
- V.K.R.V. Rao 1931-32 - first scientific estimate
- National Income Committee 1949 - P.C. Mahalanobis
- CSO 1951 + NSSO 1950 -> NSO 2019, under MoSPI

The aggregate ladder
- GVA at basic prices -> GDP at market prices
- GDP - depreciation = NDP
- GDP + NFIA = GNP; GNP - depreciation = NNP
- National Income = NNP at factor cost
- Per capita income = NNP at FC / mid-year population

Prices and base years
- Nominal = current prices; Real = constant prices
- GDP deflator = (Nominal / Real) x 100
- Series: 1993-94, 1999-2000, 2004-05, 2011-12, 2022-23
- 2022-23 series released 27 February 2026

Sustainability
- Brundtland Commission, Our Common Future, 1987
- SDGs - 17 goals, 169 targets, adopted Sept 2015
- In force 1 January 2016; replaced 8 MDGs (2000-2015)
- SDG India Index - NITI Aayog, first edition Dec 2018
- Green GDP; circular economy

Growth and development - get the difference right in one line

Start here, because every other idea in the paper hangs off this distinction. Economic growth is a number going up. Specifically, a sustained rise in the real national output of a country - real, meaning after stripping out price rise. It says nothing about who got the extra output. Economic development is wider. It is growth PLUS structural change, PLUS qualitative improvement, PLUS a better distribution of what is produced. So growth can happen without development. Development cannot happen without growth.

Economic growth vs economic development

Economic growth	Economic development
Quantitative concept	Qualitative plus quantitative concept
Rise in real national output / income	Growth + structural, welfare and distributional improvement
Narrower - one variable	Broader - a bundle of outcomes
Measured by real GDP or real NNP growth rate	Measured by HDI, MPI, PQLI and similar composite indices
Can occur without any fall in inequality	Implies rising literacy, longevity, standard of living

- Amartya Sen - capability approach; development is the expansion of human freedoms and capabilities.
- His book is 'Development as Freedom' (1999). Remember the year with the name.
- Mahbub ul Haq (Pakistani economist) - architect of the Human Development Index.
- First Human Development Report: UNDP, 1990. Haq conceived it, Sen assisted.
- Growth without development is 'jobless growth' or 'ruthless growth' - output rises, welfare does not.

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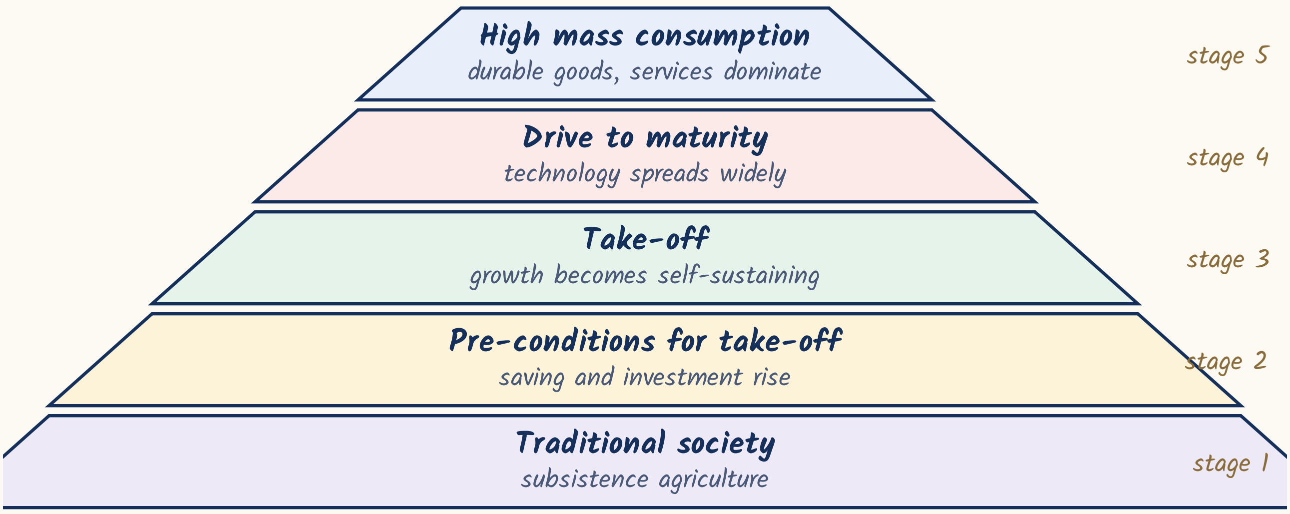
Remember: growth is the SIZE of the cake, development is the RECIPE plus how the cake is SHARED. Any option that mentions literacy, life expectancy or distribution is describing development, not growth.

Growth models - name to core idea (matching material)

Model / economist	Core idea
Harrod-Domar	Growth rate = savings rate divided by the capital-output ratio
Rostow - five stages	Traditional society, pre-conditions for take-off, take-off, drive to maturity, high mass consumption
W.A. Lewis	Dual-sector model - surplus labour moves from subsistence agriculture to modern industry
Rosenstein-Rodan	'Big push' - a large simultaneous investment is needed to break out of stagnation
Ragnar Nurkse	Vicious circle of poverty - low income, low saving, low investment, low income
A.O. Hirschman	Unbalanced growth - deliberately create imbalances so that linkages pull investment

One caution on Rostow before we move on. The stage at which growth becomes a normal, self-sustaining condition is the TAKE-OFF - the third stage. The 'drive to maturity' comes after it and is a standard distractor in the options.

Rostow's five stages of growth



Sectors of the economy and India's sectoral shift

The economy is split into three sectors by the kind of activity, not by the kind of firm. Primary takes things straight from nature. Secondary converts them. Tertiary sells services. India's story is unusual because it jumped from primary to tertiary without a long manufacturing phase - services now dominate output, but agriculture still dominates employment. That gap is the single most examinable fact about India's structure.

The three sectors

Sector	What it covers	India today
Primary	Agriculture, forestry, fishing, mining and quarrying	Employs the largest share of workers - 43.0% (PLFS 2025)
Secondary	Manufacturing, construction, electricity, gas and water supply	The 'missing middle' of India's structural change
Tertiary	Trade, transport, banking, insurance, real estate, public administration	Largest share of GVA - about 55%

TRAP

Electricity generation is SECONDARY (industry), not tertiary. RPSC has used 'which of the following is NOT part of the tertiary sector' with electricity as the answer. Mining is PRIMARY, not secondary.

- India is a mixed economy - public and private sectors coexist with state direction.
- The framework came from the Industrial Policy Resolutions of 1948 and 1956.
- The guiding phrase of that era was a 'socialistic pattern of society'.
- Capitalist economy - market decides; socialist economy - state decides; mixed - both.

Who estimates India's national income - the statistical system

This section is pure matching material. RPSC loves person-to-estimate and body-to-function pairs. Learn the sequence as a story: a nationalist first put a number on India's poverty, an academic first did it scientifically, then independent India built a committee and then a permanent office.

How national income estimation developed in India

Dadabhai Naoroji, 1867-68 - first estimate, in 'Poverty and Un-British Rule in India', per capita Rs 20 → V.K.R.V. Rao, 1931-32 - first scientific estimate → National Income Committee, 1949 - chairman P.C. Mahalanobis → First report 1951, final report 1954 → CSO (1951) and NSSO (1950) do the regular work → National Statistical Commission set up 2005 - first chairman S.D. Tendulkar → CSO + NSSO merged into the National Statistical Office (NSO), 2019, under MoSPI

- Members of the National Income Committee besides Mahalanobis: D.R. Gadgil and V.K.R.V. Rao.
- MoSPI = Ministry of Statistics and Programme Implementation - the parent ministry.
- The Advisory Committee on National Accounts Statistics (ACNAS) guides MoSPI on methodology.
- Economic Survey is prepared by the Economic Division, Department of Economic Affairs, Ministry of Finance.
- It is written under the Chief Economic Adviser and tabled a day BEFORE the Union Budget.
- First Economic Survey: 1950-51. It is a convention, not a constitutional requirement.

Two clarifications students trip on. S.D. Tendulkar is the same economist in both places - first chairman of the National Statistical Commission in 2005, and chairman of the 2009 poverty committee you will meet in the next chapter. And the Economic Survey is a convention of the Finance Ministry, while the Budget is the constitutionally required Annual Financial Statement - the Survey is not a constitutional document.

The aggregate ladder - GDP, GVA, NDP, GNP, NNP, GNI

Now the core. There are only three moves in this whole system, and every aggregate is built from them. Move one: add or subtract taxes and subsidies - that switches you between factor cost / basic prices and market prices. Move two: subtract depreciation - that switches Gross to Net. Move three: add net factor income from abroad - that switches Domestic to National. Learn the three moves and you can derive any aggregate in the exam instead of memorising twelve of them.

The aggregate ladder – one move at each step

GVA at factor cost
output – intermediate consumption

+ production taxes – subsidies

GVA at basic prices
sectoral GVA is reported here

+ product taxes – subsidies

GDP at market prices
headline growth, since Jan 2015

less depreciation = NDP

+ NFIA (domestic to national)

GNP at market prices
national, but still gross

– depreciation (gross to net)

NNP at market prices
net national product

– net indirect taxes (MP to FC)

NNP at factor cost
this is NATIONAL INCOME

/ mid-year population = PCI

The three moves

Domestic -> National: add NFIA (net factor income from abroad)

Gross -> Net: subtract depreciation (consumption of fixed capital)

Factor cost / basic prices -> Market prices: add taxes, subtract subsidies

Formula table – learn these by heart

Aggregate	Formula
GVA at basic prices	GVA at factor cost + production taxes – production subsidies
GDP at market prices	GVA at basic prices + product taxes – product subsidies
NDP	GDP – depreciation (consumption of fixed capital)

Aggregate	Formula
GNP	GDP + NFIA
NNP	GNP - depreciation
NNP at market prices	NDP at market prices + NFIA
National Income	NNP at factor cost
Per capita income	NNP at factor cost / mid-year population
GNI	The income counterpart of GNP; GNI per capita (PPP $) is the HDI's living-standard indicator
Value added	Value of output - intermediate consumption

GDP vs GVA - the pair RPSC keeps testing

GDP (at market prices)	GVA (at basic prices)
Demand side - what is spent on final output	Supply side - what each sector actually produces
Includes product taxes, net of product subsidies	Excludes product taxes and subsidies; includes production taxes net of production subsidies
Headline growth number reported since January 2015	Used to report SECTORAL performance
GDP at MP = GVA at BP + product taxes - product subsidies	GVA at BP = GVA at FC + production taxes - production subsidies
Rises when indirect tax rates rise, even if output is flat	Not distorted by indirect tax changes - a cleaner production picture

TRAP

Production taxes vs product taxes. Production taxes are paid whatever the level of output - land revenue, stamp duty, registration fee, professional tax. Product taxes vary with the quantity produced - excise, sales tax, GST on the product, export/import duty. Production taxes sit in the FC-to-BP step; product taxes sit in the BP-to-MP step.

ASKED IN RAS

Asked in RAS Pre 2013 and again in 2021 - in national income accounting, 'National Income' refers specifically to which aggregate? Answer: Net National Product at FACTOR COST. Not GDP, not NNP at market prices.

ASKED IN RAS

Asked in RAS Pre 2024 as a statement question - GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies. That statement is CORRECT. Learn the sentence in exactly that word order.

ASKED IN RAS

Asked in RAS Pre 2021 on NFIA - it is the difference between factor income received from abroad and factor income paid abroad; it is added to GDP to get GNP; for India it is usually NEGATIVE. All three are correct.

One line to over-learn: per capita income = NNP at factor cost divided by MID-YEAR population. Two traps sit in that single sentence - the numerator is not GDP, and the denominator is not year-end population.

Nominal vs real, and the GDP deflator

The same basket of goods looks bigger every year simply because prices rise. To see whether the economy actually produced more, you must value output at the prices of one fixed year. That is real GDP. Nominal GDP uses this year's prices. The ratio between the two is itself a price index - and it is the broadest one we have, because it covers everything the economy produced and has no fixed basket.

- Nominal GDP - at CURRENT prices. Also called GDP at current prices.
- Real GDP - at CONSTANT prices, that is, the prices of the base year.
- GDP deflator = (Nominal GDP / Real GDP) x 100.
- The deflator has no fixed basket - its weights change every year with the composition of output.
- That is why it is the broadest measure of inflation, broader than CPI or WPI.
- Since January 2015 India's HEADLINE growth is reported as GDP at constant market prices.

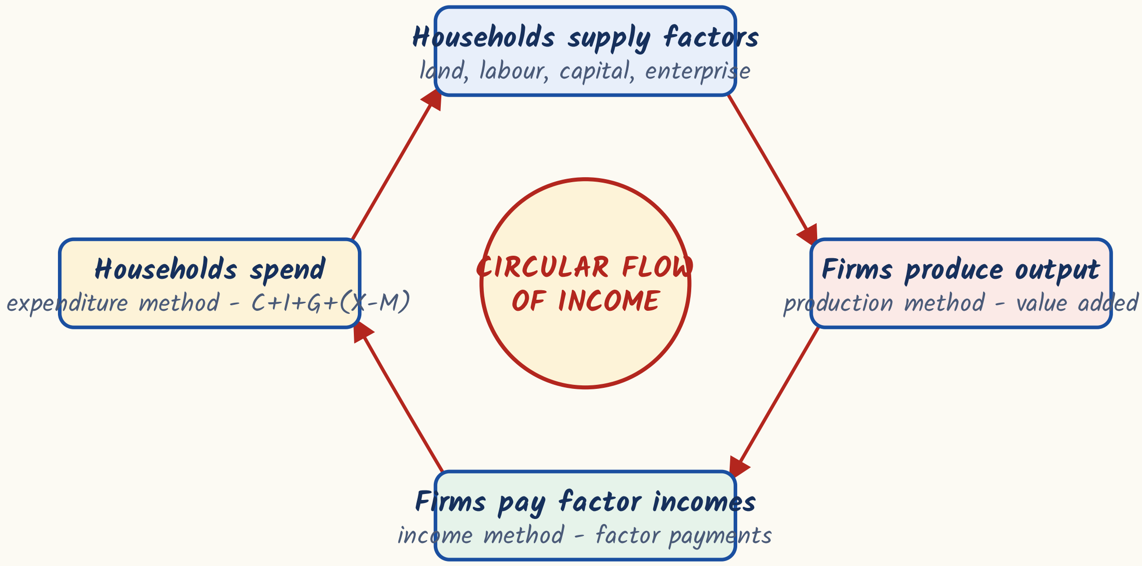
TRAP

The deflator is NOMINAL divided by REAL, times 100. RPSC has printed 'ratio of real GDP to nominal GDP multiplied by 100' as a wrong-pair option. Read the order of the words.

The three methods of estimating national income

One economy, three angles. Whatever is produced is paid out as income to someone, and whatever is paid out is spent on something. So all three methods must give the same total. The exam asks which method uses which ingredients, and which method is NOT a method - so learn the three names and the ingredients of each.

The circular flow – why all three methods agree



Three methods – three angles on the same circular flow

Production / value-added method: sum of value added by all producing units (output minus intermediate consumption) →

Income method: wages and salaries + rent + interest + profit (that is, the incomes of the factors of production) →

Expenditure method: C + I + G + (X - M) – consumption, investment, government spending, net exports →

All three must yield the same national income

- Double counting is avoided by counting ONLY value added, or ONLY final goods - never both.
- Value added = value of output - intermediate consumption.
- Excluded: transfer payments - old-age pension, scholarships, unemployment allowance, subsidies to households.
- Excluded: sale of second-hand goods (the output was already counted in its production year).
- Excluded: purely financial transactions - buying shares or bonds is a transfer of ownership, not production.
- Included: the imputed rent of owner-occupied houses and the value of own-account production.

RPSC also asks this negatively - which of the following is NOT a method of estimating national income. The manufactured option in that question was the 'input-output substitution method', which does not exist. There are only three: production/value-added, income, expenditure.

Base-year revisions - a favourite RPSC hook

A base year fixes the prices at which real output is valued. Over time the structure of the economy changes so much that old prices and old weights stop making sense, so the series is rebased. India has rebased five times. The exam asks the sequence, the latest base year and what is new in it.

India's National Accounts base years, in order

1993-94 → 1999-2000 → 2004-05 → 2011-12 (introduced January 2015) → 2022-23 (released 27 February 2026 by MoSPI)

- The 2011-12 series was the one that shifted headline reporting to GDP at constant MARKET prices and sectoral reporting to GVA at BASIC prices.
- The 2022-23 series uses DOUBLE DEFLATION in manufacturing and agriculture.
- It is built on a Supply-Use Table framework.
- New data sources folded in: GST, PFMS, e-Vahan, ASUSE and PLFS.
- It did NOT replace GDP with GVA as the headline indicator - GDP remains the headline.

ASKED IN RAS

Asked in RAS Pre 2024 - India's new series of National Accounts released by MoSPI in February 2026 uses which base year? Answer: 2022-23. Expect the same question re-framed as 'arrange the base years in chronological order'.

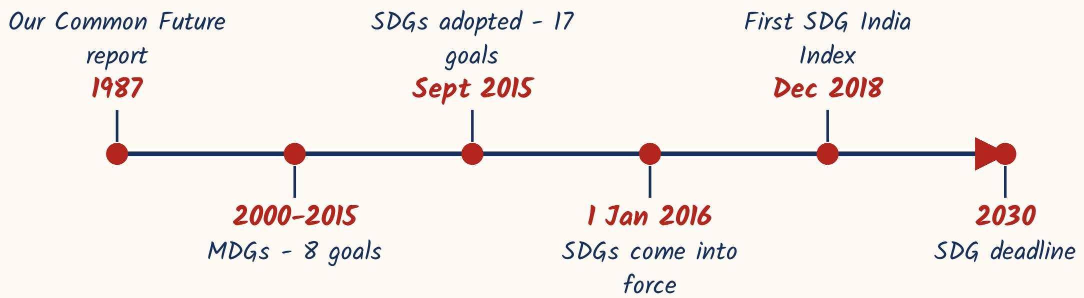
CURRENT LINK

Current link (as of September 2026): under the new 2022-23 series MoSPI puts real GDP growth at 7.2% in 2023-24 and 7.1% in 2024-25. Quote these two numbers with the series and the source - the old-series numbers were different, and an undated figure is a wrong figure.

Sustainable development, the SDGs and the newer 'green' concepts

Sustainability entered development economics through one sentence written in 1987. The Brundtland Commission - formally the World Commission on Environment and Development - defined sustainable development in its report 'Our Common Future' as development that meets the needs of the present without compromising the ability of future generations to meet their own needs. Memorise the report name, the commission name and the year together; RPSC matches all three.

From Brundtland to the SDG deadline



- Brundtland Commission = World Commission on Environment and Development; report 'Our Common Future', 1987.
- SDGs: 17 goals, 169 targets. Document title - 'Transforming our World: the 2030 Agenda for Sustainable Development'.
- Adopted September 2015; came into force 1 January 2016; run to 2030.
- They replaced the Millennium Development Goals - 8 goals, period 2000-2015.
- NITI Aayog publishes the SDG India Index with MoSPI and UN India; first edition December 2018.
- The SDG India Index ranks States and Union Territories, not countries.

- Green GDP = GDP adjusted for depletion of natural resources and the cost of environmental degradation.
- Circular economy = reduce, reuse, recycle, recover - materials are kept in use.
- Its opposite is the linear 'take-make-dispose' model.
- By PPP India is the THIRD largest economy (after the USA and China).
- By nominal GDP in US dollars India is the FOURTH largest (IMF World Economic Outlook).

The SDG number string worth memorising

- 17 goals - 169 targets - adopted September 2015 - in force 1 January 2016 - deadline 2030.
- Before them: 8 Millennium Development Goals, running 2000 to 2015.
- SDG India Index is a NITI Aayog product; the global SDG framework is a UN one - do not swap the two.

TRAP

PPP rank and nominal rank are different questions. THIRD by PPP, FOURTH by nominal dollars. Options are written to make you pick the one you last read.

CURRENT LINK

Current link (as of September 2026): size-of-economy questions are being asked in both forms, so carry both answers with their yardstick - by purchasing power parity India is the THIRD largest economy in the world after the USA and China, while by nominal GDP in US dollars (IMF World Economic Outlook) it is the FOURTH largest. Name the yardstick in your answer; the rank alone is half a fact.

REVISION RECAP

1. Growth = quantitative rise in real output. Development = growth + structure + distribution + welfare.
2. Sen - capability approach, 'Development as Freedom' 1999. Haq - architect of HDI, first HDR 1990.
3. Naoroji 1867-68 first estimate (Rs 20 per capita); V.K.R.V. Rao 1931-32 first scientific estimate.
4. National Income Committee 1949 - Mahalanobis, with Gadgil and V.K.R.V. Rao; reports 1951 and 1954.
5. CSO 1951 + NSSO 1950 merged into NSO in 2019 under MoSPI; NSC 2005, first chairman S.D. Tendulkar.
6. GVA at BP = GVA at FC + production taxes - production subsidies.
7. GDP at MP = GVA at BP + product taxes - product subsidies.
8. NDP = GDP - depreciation. GNP = GDP + NFIA. NNP = GNP - depreciation.
9. National Income = NNP at factor cost; per capita income = NNP at FC / mid-year population.
10. GNI per capita in PPP dollars is the standard-of-living indicator in the HDI.
11. Three methods - production/value added, income (wages+rent+interest+profit), expenditure (C+I+G+X-M).
12. Excluded from national income - transfer payments, second-hand sales, purely financial transactions.
13. Nominal = current prices, real = constant prices; GDP deflator = Nominal/Real x 100, broadest index, no fixed basket.
14. Base years: 1993-94, 1999-2000, 2004-05, 2011-12 (Jan 2015), 2022-23 (27 February 2026).
15. New 2022-23 series - double deflation, Supply-Use Tables, GST/PFMS/e-Vahan/ASUSE/PLFS data; GDP stays the headline.
16. Headline growth since January 2015 = GDP at constant MARKET prices; sectors reported through GVA at basic prices.
17. Brundtland Commission, 'Our Common Future', 1987 - the sustainable development definition.
18. SDGs 17 goals, 169 targets, adopted Sept 2015, in force 1 Jan 2016; replaced 8 MDGs of 2000-2015.
19. SDG India Index - NITI Aayog with MoSPI and UN India, first edition December 2018, ranks States and UTs.
20. Services about 55% of GVA; agriculture 43.0% of workers (PLFS 2025). India - 3rd by PPP, 4th by nominal GDP.